invested those same dollars in the cheapest businesses, you'd have $915,000 by 1990. I'd say that's a statistically significant difference.

The problem is that the businesses in the lowest deciles are ones "with the most hair on them." Investing in them is clearly the ticket to wealth, but trying to get any type of active investment team to buy bucket loads of these hairy, hated, and unloved businesses just isn't going to happen. It is the same reason that Joel Greenblatt's Magic Formula (highlighted in *The Little Book That Beats the Market*)[17] is likely to trounce virtually all active managers with very little work. Nonetheless, most active managers won't buy meaningful quantities of Magic Formula type stocks. There is the final aspect I cloned.

Mr. Buffett reported performance numbers to his partners once a year on December 31. This is highly unusual. Mutual funds report daily and most hedge funds report monthly. Mr. Buffett's annual reporting makes all the sense in the world to me. Real business change takes months, if not years. If you invest in a business, you ought to be quite content to get a datapoint on its valuation once a year. Most entrepreneurs have no idea what their businesses are worth for years on end, and they don't break out in hives over it. Pabrai Funds cloned most of this ideology as well. Although we are required to report performance just once a year, Pabrai Funds typically reports performance data just four times a year to its U.S. investors.

These seven Buffett Partnership nuances make it a very unique offering. When I studied them, my conclusion was that, taken together, they accomplished three wonderful results for Mr. Buffett:

1. They attracted just the right kind of long-term investor for Mr. Buffett. The investor base was positively self-selecting based on the rules.
2. They created a wide moat that was virtually impossible for his competitors to cross—forever.
3. They made professional money management a very relaxed, blissful career to follow. Mr. Buffett tapdances to work every single day.

I did not come up with any of this. I simply carefully analyzed the Buffett Partnerships and concluded that lifting and scaling was the way to go.